CORPORATE GOVERNANCE CASE STUDY

Saudi German Health: Board Manipulation and Financial Fraud (2018-2021)

Company:	Middle East Healthcare Company (Saudi German Health)
Exchange:	Saudi Stock Exchange (Tadawul: 4009)
Industry:	Private Healthcare Services
Time Period:	2018 - Q3 2021 (Manipulation Period)
Regulatory Action:	May 21, 2026 (CMA/ACRSD Final Decision)
Total Fines:	SAR 18 million (~$4.8M USD)
Convicted:	11 board members and audit committee members

SYNOPSIS

In May 2026, Saudi Arabia's Capital Market Authority (CMA) announced the conviction of 11 board members and audit committee members from Middle East Healthcare Company (Saudi German Health) for systematic financial statement manipulation spanning 2018 through Q3 2021. The executives knowingly recognized SAR 358 million in revenues despite explicit awareness that collection was highly unlikely, creating false and misleading financial statements that inflated the company's book value and misrepresented its true financial position. This case presents a clear breach of fiduciary duty, audit committee failure, and regulatory enforcement response in an emerging market context.

THE VIOLATION

Between 2018 and the third quarter of 2021, the board of directors and audit committee of Saudi German Health approved the recognition of SAR 358 million in gross revenues that the board explicitly knew had weak collection probability. This was not negligence—it was knowing manipulation. The approval process violated Article 49(a) of Saudi Arabia's Capital Market Law (creating false/misleading impression of market value) and Article 7 of Market Conduct Regulations (fraud in securities transactions).

Critical Governance Failure: The audit committee—whose mandate is independent oversight of financial reporting—participated in the manipulation rather than preventing it. This represents a complete collapse of the board's checks and balances system.

REGULATORY PENALTIES

Individual	Role	Fine (SAR)	Ban
Makarem S. Batterjee	Board Member	3,100,000	1 year
Sobhi A. Batterjee	Board Member	2,100,000	1 year
Sultan S. Batterjee	Board Member	2,100,000	1 year
Khaled A. Batterjee	Board Member	2,100,000	1 year
Mohammed Moumneh	Board Member	2,100,000	1 year
Ahmed Al-Dahlawi	Board Member	1,980,000	1 year
Amr Khashoggi	Board Member	1,600,000	1 year
Ali Al-Quwaiz	Audit Committee	1,080,000	1 year
Mohammed Bin Siddiq	Audit Committee	500,000	6 months
Waleed Kayyal	Audit Committee	580,000	6 months
Saleh Hafni	Audit Committee	680,000	6 months
TOTAL		18,020,000	

Observation: Four convicted individuals share the Batterjee surname, suggesting concentrated family control and potential corporate governance weaknesses in family-controlled public companies.

MARKET IMPACT

The company's stock price collapsed following the scandal revelation. As of May 24, 2026, Saudi German Health shares trade at SAR 33.98, reflecting:

- -44.39% year-over-year decline
- -58.81% decline over 2 years
- -51.63% all-time decline from historical highs

Six board members resigned immediately following the conviction announcement. The Appeal Committee for the Resolution of Securities Disputes (ACRSD) has opened a pathway for individual and class-action compensation claims by affected investors.

DISCUSSION QUESTIONS

Corporate Governance & Fiduciary Duty

- What fiduciary duties did the board of directors breach?
- How did the audit committee fail in its oversight role?
- What does 'knowing recognition of uncollectible revenues' reveal about governance culture?
- How should board composition be structured to prevent such failures?

Financial Reporting & Accounting Ethics

- What accounting principle was violated by recognizing SAR 358M in doubtful receivables?
- How does revenue recognition policy become a tool for earnings management?
- What role should external auditors have played?
- Compare this to similar scandals: Enron, WorldCom, Satyam, Wirecard.

Regulatory Enforcement & Market Integrity

- Is an SAR 18M fine adequate deterrent for SAR 358M manipulation (5% ratio)?
- What message does the tiered penalty structure send?
- Are 6-12 month industry bans sufficient to protect markets?
- Should criminal prosecution supplement regulatory penalties?

Stakeholder Impact & Compensation

- Who were the primary victims of this manipulation?
- How should investor compensation be calculated?
- What is the reputational damage to the healthcare sector?
- How does this affect Saudi Vision 2030 healthcare privatization initiatives?

KEY DATA POINTS FOR ANALYSIS

Financial Impact:
- Manipulation Amount: SAR 358 million (3.75 years)
- Total Regulatory Fines: SAR 18 million (5.03% of fraud amount)
- Stock decline: -44% YoY, -59% over 2 years

Governance Metrics:
- 11 convicted individuals (8 board members, 3 audit committee members)
- 4 Batterjee family members convicted (concentrated control)
- 6 immediate board resignations post-conviction

Regulatory Framework:
- Legal Basis: Article 49(a) Capital Market Law + Article 7 Market Conduct Regulations
- Enforcement Agency: Capital Market Authority (CMA) + Public Prosecution
- Judicial Body: Appeal Committee for Resolution of Securities Disputes (ACRSD)
- Remedies: Individual and class action compensation claims now available

TEACHING OBJECTIVES

This case is designed for MBA-level instruction in corporate governance, business ethics, financial reporting, and regulatory enforcement. Students should emerge able to:

1. Analyze governance failures enabling systematic financial manipulation
2. Evaluate adequacy and proportionality of regulatory penalties vs. deterrence objectives
3. Recommend specific governance reforms to prevent recurrence
4. Assess stakeholder impact and develop compensation mechanisms
5. Compare Saudi enforcement standards to international benchmarks (SEC, FCA, SEBI)
6. Apply ethical frameworks to fiduciary duty and financial reporting decisions
7. Synthesize lessons for emerging market capital market development

THE CENTRAL DILEMMA

"The board and audit committee KNEW revenues were uncollectible but recognized them anyway. They received SAR 18M in fines (5% of fraud) and 6-12 month industry bans. Were these penalties adequate to deter the next would-be manipulator in Saudi capital markets?"

COMPARATIVE INTERNATIONAL CASES

Case	Fraud Amount	Penalty	Ratio	Outcome
Saudi German Health	$95M	$4.8M	5%	6-12 mo. bans
Toshiba (Japan)	$1.2B	$37M	3%	No jail time
Satyam (India)	$1.5B	Criminal	N/A	7 years jail
Enron (USA)	$74B loss	Criminal	N/A	Bankruptcy, jail

PRE-CLASS ASSIGNMENT

Students should prepare written responses to the following:
1. Should criminal prosecution be pursued in addition to regulatory penalties? Why or why not?
2. Design a governance reform package (5 specific recommendations) to prevent similar fraud.
3. Develop an investor compensation formula. What factors should determine damages?
4. Assess the reputational impact on Saudi Arabia's Vision 2030 capital market credibility.

Case Study Source: Argaam Financial News (https://www.argaam.com/en/article/articledetail/id/1908037)
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